expenditure on interest payments, defence, civil service pay and pensions, etc., which appropriate large part of the revenue receipts on the one hand, and the need to step up development expenditure that is so critical for raising the level of welfare of the masses on the other.

Thus, the annual budget has to maintain a *delicate balance* between the need to reduce the expenditure that is perceived as non-developmental, given the structural rigidities in the key expenditure components and the needs for raising the levels of development expenditure for inclusive growth. It is in this context successive budgets have focused on 'reprioritisation of expenditure'.

In the post-FRBM period, prior to the global crisis, total expenditure as a proportion of GDP was brought down from **15.4** per cent in 2004-05 to **13.6** per cent in 2006-07. Following the global crisis and the fiscal stimulus that followed, this proportion rose in excess of **15.7** per cent in 2008-09 and **15.8** per cent in 2009-10. Notwithstanding the significant fiscal consolidation achieved in 2010-11 when the stimulus measures were partially rolled back, total expenditure as a proportion of GDP was placed at **15.4** per cent, which was possible due to the one off nature of surge in non-tax revenues from '3G/BWA telecom spectrum auction/proceeds' as well as high levels of nominal GDP.

Subsidies

The Budget for 2011-12 had estimated total subsidies expenditure to be contained at **14.0** per cent of GDP, but as there was an overshooting on account of the high global oil prices and the insufficient pass through to domestic oil and fertilizer prices. The overshooting of expenditure on subsidies was also because of the accounting changes which placed all subsidies 'above the line'. The Budget for 2012-13 estimated growth in total expenditure at **13.1** per cent over 2011-12 and sought to restrict expenditure on subsidies to ***2 per cent of GDP*** (as against a provision of Rs. 23,640 crore in 2011-12 for oil subsidies, the Budget for 2012-13 provisioned an amount of Rs. 43,580 crore assuming a certain level of global crude oil price).